

INDEPENDENT AUDITOR'S REPORT: ANNEXURE ON CARO 2020

Statutory Audit Annexure under Section 143(11) of the Companies Act, 2013

Client: Zenith Infrastructure & Power Limited	CIN: L45200MH2008PLC184291
Financial Year: 2023-24	Audit Date: 2024-03-31
Audit Firm: Singhanian & Associates LLP, Chartered Accountants (Firm Reg No. 128490W)	Lead Partner: CA Vikram Singhanian, FCA (Membership No. 052194)

Clause 3(i)(a)-(e): Property, Plant & Equipment and Intangible Assets [QUALIFIED]

- (i) (a) (A) The Company has maintained proper records showing full particulars of Property, Plant and Equipment.
(B) The Company has maintained proper records showing full particulars of intangible assets.
- (b) The Property, Plant and Equipment have been physically verified by management during the year, except as noted in the exception schedule.
- (c) According to the information and explanations given to us and on the basis of our examination of records, the title deeds of immovable properties (other than properties where the Company is lessee) disclosed in financial statements are held in the name of the Company, except for the following properties:
- (d) The Company has revalued certain classes of Property, Plant and Equipment during the year, details of which are highlighted in the exception log.
- (e) According to the information and explanations given to us, no proceedings have been initiated or are pending against the Company for holding benami property under the Prohibition of Benami Property Transactions Act, 1988.

Balance Sheet Line Item	Description of Property	Gross Carrying Value (₹ Cr)	Title Deeds Held In Name Of	Whether Promoter/Director/Relative	Period Held (Years)	Reason for Not Being Held in Company Name
Freehold Land	Plot 14, MIDC Industrial Area, Nagpur (8 Acres)	24.50	Mr. Alok Singhanian (Former Promoter Director)	Yes	6	Conveyance deed not executed in favour of the Company despite consideration paid

Clause 3(ii)(a)-(b): Inventories & Working Capital Bank Returns [QUALIFIED]

- (ii) (a) According to the information and explanations given to us, physical verification of inventory was conducted by the management, but material discrepancies exceeding 10% in aggregate were noticed for certain classes of inventory as detailed in the exception log.
- (b) The Company has been sanctioned working capital limits in excess of ₹5 Crore from banks on the basis of security of current assets. The quarterly returns/statements filed by the Company with such banks were NOT in agreement with the books of account, as detailed in the reconciliation statement below:

Quarter	Name of Bank / Consortium	Securities Particulars	Type of Current Asset	Amount as per Books (₹ Cr)	Amount Reported to Bank (₹ Cr)	Difference (₹ Cr)	Reason for Material Discrepancy
Q1 (June 2023)	PNB Consortium	Hypothecation of stocks and receivables	Inventory	320.00	385.00	-65.00	Client inflated stock statement filed with consortium to maintain drawing power
Q1 (June 2023)	PNB Consortium	Hypothecation of stocks and receivables	Trade Receivables	620.00	740.00	-120.00	Invoiced uncertified EPC claims included in bank return not recognized in books
Q2 (September 2023)	PNB Consortium	Hypothecation of stocks and receivables	Inventory	315.00	370.00	-55.00	Drawing power inflation of inventory quantities
Q2 (September 2023)	PNB Consortium	Hypothecation of stocks and receivables	Trade Receivables	640.00	755.00	-115.00	Disputed receivables reported as good to bank

Q3 (December 2023)	PNB Consortium	Hypothecation of stocks and receivables	Inventory	295.00	345.00	-50.00	Unreconciled physical shortage not factored in bank statement
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Clause 3(iii)(a)-(f): Loans, Investments, Guarantees & Securities Granted **[QUALIFIED]**

- (iii) According to the information and explanations given to us and on the basis of our examination of records:
- (a) The Company has provided loans, guarantees, and securities during the year as detailed in the summary table.
 - (b) Terms and conditions of certain loans granted were prejudicial to the interest of the Company, as detailed in the exception log.
 - (c) Repayment schedules are regular except for instances identified in the audit findings.
 - (d) Certain amounts are overdue for more than 90 days as reported in the exception log.
 - (e) Renewals and extensions of loans, if any, have been reviewed and documented.
 - (f) Loans repayable on demand or without terms constitute 59.44% of total loans.

Category	Aggregate Amount Granted during the Year (₹ Cr)	Balance Outstanding as at March 31 (₹ Cr)
Subsidiaries, Joint Ventures and Associates	40.00	40.00
Parties other than Subsidiaries, Joint Ventures and Associates	90.00	103.00
Total	130.00	143.00

Clause 3(iv): Compliance with Sections 185 and 186 (Loans to Directors & Investments) **[QUALIFIED]**

(iv) According to the information and explanations given to us, the Company has not complied with the provisions of Sections 185 and/or 186 of the Companies Act, 2013: The Company has granted an unsecured loan of Rs. 65.00 Crores to Singhania Real Estate Pvt Ltd, an entity in which the Managing Director is interested, in contravention of the provisions of Section 185 of the Companies Act, 2013.

Clause 3(v): Public Deposits & Deemed Deposits (Sections 73 to 76) **[CLEAN]**

(v) In our opinion and according to the information and explanations given to us, the Company has not accepted any deposits or amounts which are deemed to be deposits within the meaning of Sections 73 to 76 of the Act and the rules framed thereunder. Accordingly, clause 3(v) of the Order is not applicable.

Clause 3(vi): Maintenance of Cost Records (Section 148(1)) **[QUALIFIED]**

(vi) The Central Government has prescribed maintenance of cost records under sub-section (1) of Section 148 of the Act. However, the Company has NOT made and maintained the prescribed accounts and records during the year.

Clause 3(vii)(a)-(b): Statutory Dues & Disputed Litigations **[QUALIFIED]**

- (vii) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, undisputed amounts payable in respect of statutory dues which were in arrears as at March 31, 2024 for a period of more than six months from the date they became payable are as follows:
- (b) According to the information and explanations given to us, statutory dues relating to Goods and Services Tax, provident fund, income-tax, sales-tax, service tax, duty of customs, duty of excise and value added tax which have not been deposited on account of any dispute are set out in the table below:

Name of Statute	Nature of Dues	Amount (₹ Cr)	Period to Which Amount Relates	Due Date	Date of Payment / Status
Central Goods and Services Tax Act 2017	CGST & SGST Output Tax	12.45	FY 2023-24 (May to August 2023)	2023-06-20	Unpaid
Employees Provident Funds Act 1952	Provident Fund Employee & Employer Share	4.20	FY 2023-24 (June to September 2023)	2023-07-15	Unpaid
Income Tax Act 1961	Tax Deducted at Source (TDS)	3.15	FY 2023-24 (Q1 and Q2)	2023-07-07	Unpaid
Maharashtra State Tax on Professions Act	Professional Tax	0.35	FY 2023-24 (H1)	2023-09-30	Unpaid

Clause 3(viii): Undisclosed Income Surrendered in Tax Assessments [QUALIFIED]

(viii) According to the information and explanations given to us, the Company has surrendered or disclosed transactions as income during the year in tax assessments: During the year, search operations under Section 132 of the Income-tax Act, 1961 were conducted, wherein undisclosed transactions amounting to Rs. 12.50 Crores were surrendered as income, which have not been properly recorded in the books of account. However, such previously unrecorded income has NOT been properly recorded in the books of account during the year.

Clause 3(ix)(a)-(f): Borrowings Defaults, Wilful Defaulter & Fund Utilization [QUALIFIED]

(ix) (a) According to the records of the Company examined by us and the information and explanations given to us, the Company has defaulted in repayment of loans or other borrowings or in the payment of interest thereon to lenders as detailed in the table below:

(b) According to the information and explanations given to us, the Company has not been declared a wilful defaulter by any bank or financial institution.

(c) According to the information and explanations given to us, term loans were diverted from their stated purpose as reported in the exception log.

(d) Short term funds and long term funds utilization has been reviewed and documented in audit findings.

(e) Funds taken to meet obligations of group entities, if any, have been substantively tested.

(f) The Company has not raised loans on the pledge of securities in subsidiaries, except as noted in the financial statements.

Nature of Borrowing	Name of Lender	Amount Not Paid on Due Date (₹ Cr)	Whether Principal or Interest	No. of Days Delay / Unpaid	Remarks
Rupee Term Loan	Punjab National Bank	46.70	Principal & Interest	120	Defaulted in servicing monthly installments and interest since November 2023
Equipment Loan	SREI Infrastructure Finance	16.80	Principal & Interest	95	Account classified as SMA-2 by lender
Working Capital Facility	Bank of India	6.50	Interest	75	Interest overdue in Cash Credit account
Non-Convertible Debentures (NCDs)	Privately Placed NCD Holders	36.50	Principal & Interest	180	Failed to redeem Series-II Debentures due for redemption in October 2023

Clause 3(x)(a)-(b): Public Offers & Preferential Allotments (Sections 42 & 62) [QUALIFIED]

(x) (a) The Company has not raised moneys by way of IPO/FPO during the year.

(b) During the year, the Company made preferential allotment / private placement. However, non-compliances were identified: The Company made a preferential allotment of convertible warrants amounting to Rs. 50.00 Crores, but failed to comply with the requirement of keeping application money in a separate bank account per Section 42(6) of the Act.

Clause 3(xi)(a)-(c): Fraud Reporting & Whistleblower Complaints (Section 143(12)) [QUALIFIED]

(xi) (a) According to the information and explanations given to us, fraud on/by the Company has been noticed or reported: A fraud on the Company amounting to Rs. 8.40 Crores by an erstwhile senior vice president involving fictitious subcontractor billings was noticed during the year. The statutory auditor has filed a report in Form ADT-4 with the Central Government (Ministry of Corporate Affairs) as prescribed under Section 143(12) of the Act.

(b) A report under sub-section (12) of Section 143 of the Companies Act in Form ADT-4 has been filed with the Central Government during the year.

(c) We have taken into consideration 3 whistle-blower complaints received by the Company during the year.

Clause 3(xii)(a)-(c): Nidhi Company Statutory Ratios & Compliance [NOT_APPLICABLE]

(xii) In our opinion and according to the information and explanations given to us, the Company is not a Nidhi company. Accordingly, clauses 3(xii)(a), 3(xii)(b) and 3(xii)(c) of the Order are not applicable.

Clause 3(xiii): Related Party Transactions (Sections 177, 188 & Ind AS 24) [QUALIFIED]

(xiii) According to the information and explanations given to us and based on our examination of records, certain transactions with related parties were NOT in compliance with Sections 177 and/or 188 of the Act or have not been disclosed as required by the applicable accounting standards, as detailed in the audit exception log.

Related Party Name	Relationship	Nature of Transaction	Amount (₹ Cr)	Audit Committee Approval	Arm's Length Tested	Disclosed in Financial Statements
Singhania Real Estate Pvt Ltd	Promoter Entity	Unsecured advance without interest	65.00	No	No	No
Alok Singhania	Managing Director	Subcontracting commission payment	8.40	No	No	Yes

Clause 3(xiv)(a)-(b): Internal Audit System & Reports Consideration (Section 138 & SA 610) **[QUALIFIED]**

(xiv) (a) In our opinion, the internal audit system is not commensurate with the size and nature of the Company's business.
(b) Due to deficiencies in the internal audit process, internal audit reports were not available or adequately considered.

Clause 3(xv): Non-Cash Transactions with Directors (Section 192) **[QUALIFIED]**

(xv) According to the information and explanations given to us, the Company has entered into non-cash transactions with directors in contravention of Section 192: The Company transferred a luxury guest house having carrying value of Rs. 4.50 Crores to a director without obtaining prior approval in general meeting under Section 192 of the Act.

Clause 3(xvi)(a)-(d): RBI NBFC Registration & CIC Status (Section 45-IA) **[CLEAN]**

(xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.
(b) The Company has not conducted any Non-Banking Financial or Housing Finance activities without obtaining a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.
(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.
(d) According to the information and explanations provided by the management, the Group has 0 Core Investment Company (CIC) as part of the Group.

Clause 3(xvii): Recalculation of Real Cash Losses **[QUALIFIED]**

(xvii) The Company has incurred cash losses of ₹142.50 Crore in the current financial year and ₹85.20 Crore in the immediately preceding financial year.

Financial Year	Profit / (Loss) Before Tax (₹ Cr)	Depreciation & Amortization (₹ Cr)	Other Non-Cash Adjustments (₹ Cr)	Net Realized Cash Profit / (Loss) (₹ Cr)	Cash Loss Incurred?
2023-24	-210.50	68.00	0.00	-142.50	Yes
2022-23	-145.20	60.00	0.00	-85.20	Yes

Clause 3(xviii): Resignation of Statutory Auditors (Section 140(2) & SA 300) **[OBSERVATION]**

(xviii) There has been resignation of the statutory auditors during the year and we have taken into consideration the issues, objections or concerns raised by the outgoing auditor: Previous statutory auditor resigned citing lack of information on related party loans and non-cooperation by management.

Clause 3(xix): Going Concern Capability & 1-Year Liquidity Assessment **[QUALIFIED]**

(xix) On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans, we note that MATERIAL UNCERTAINTY EXISTS as on the date of the audit report regarding whether the Company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. The Company has an effective 12-month liquidity deficit of ₹813.50 Crore.

Ratio Name	Current Year	Prior Year	Variance %	Benchmark / Tolerance	Healthy?
Current Ratio	0.62	0.81	-23.45%	1.00	No
Debt Equity Ratio	3.92	2.15	+82.32%	2.00	No
Debt Service Coverage Ratio	-0.41	0.65	-163.07%	1.25	No

Return On Equity Pct	-72.58	-36.75	-97.49%	10.00	No
Inventory Turnover Ratio	10.32	11.50	-10.26%	4.00	Yes

Clause 3(xx)(a)-(b): Corporate Social Responsibility (CSR) Compliance (Section 135) [QUALIFIED]

(xx) According to the records of the Company examined by us, the Company has NOT complied with the statutory provisions of Section 135:

- (a) Unspent amounts in respect of other than ongoing projects were not transferred to Schedule VII fund within 6 months, as detailed in the exception log.
- (b) Unspent amounts in respect of ongoing projects were not transferred to the designated Special Bank Account within 30 days, as detailed in the exception log.

Financial Year	Statutory 2% Obligation (■ Cr)	Actual Amount Spent (■ Cr)	Unspent on Ongoing Projects (■ Cr)	Unspent on Other Projects (■ Cr)	Compliance Status
FY 2023-24	0.00	0.00	0.00	0.00	Complied
FY 2022-23	2.40	1.20	0.00	1.20	Non-compliant (Sec 135(5))

Clause 3(xxi): CARO Qualifications in Consolidated Financial Statements [NOT_APPLICABLE]

(xxi) The reporting under clause 3(xxi) of the Order is applicable only in respect of Consolidated Financial Statements. Accordingly, this clause is not applicable to the Standalone Financial Statements of the Company.